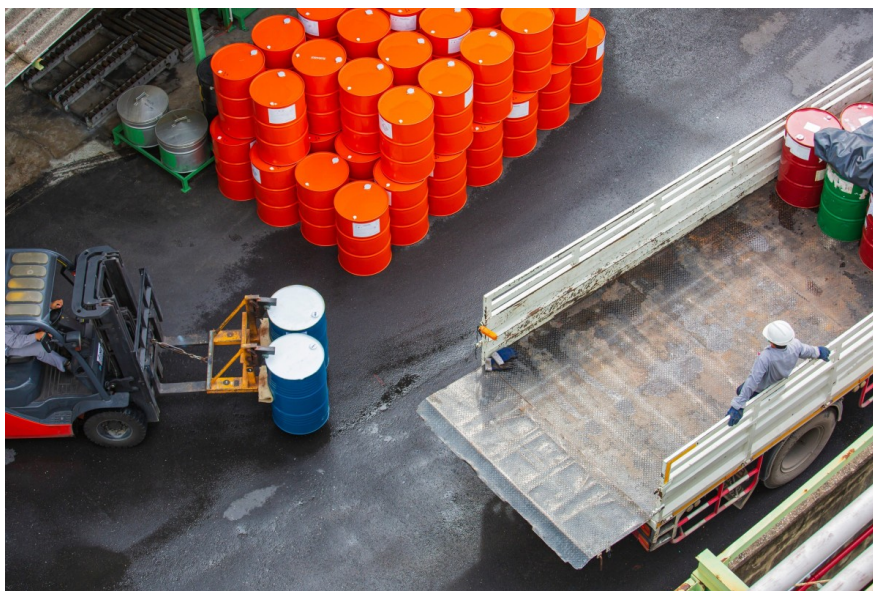


FX Daily: Remarkable resilience of risk assets

Investors have jumped on the news of 'great progress' in US-Iran negotiations, buying risk assets and selling the dollar. This is a far cry from the view that the oil market was close to a 'tipping point' which could trigger a non-linear spike in crude. It is too early to sound the all-clear in this crisis, but the USD can explore the downside



The prospect of a permanent peace deal between the US and Iran remains highly uncertain, and oil looks set to remain very volatile

⬇️ USD: Risk on, dollar off

It seems equity investors are still looking to put money to work and are jumping on positive-sounding news from the Gulf. The reaction to the pause of 'Project Freedom' looks a little overblown, though attention is also turning to Iran's recent shuttle diplomacy, with its foreign minister visiting Russia and China in recent days. The bullish view here is that President Trump wants a deal before visiting President Xi on 14-15 May, and China may be bringing pressure to bear on Iran.

The prospect of a permanent peace deal remains highly uncertain, however, and oil looks set to remain very volatile. Here, the focus in energy markets is whether a tipping point is reached over the next month. The story would be whether [oil inventories are drawn down so much](#) that a bidding war erupts for the ever-scarcer supply. This could lead to a non-linear jump in oil prices.

Given the inventory story is going to gain greater attention now, the focus today will be on the 1630CET release of the US EIA weekly oil inventory numbers. A 2.4m barrel drawdown is expected after a 6.2m fall last week. Any much higher drawdown than expected could send oil sharply higher again.

Yet this window of optimism on a peace deal has allowed money to flow back into equities – driven by the underlying conviction that the tech sector AI buildout will endure. Overnight, Asian equities performed very well. The standout has been Korea's Kospi, where news of greater foreign access to local equity markets has powered the Kospi to a 7% gain and lifted the beleaguered won. Chinese equities have also been doing well, and some better April PMI numbers are helping to drive USD/CNY to the lows of the year, near 6.81. This better EM environment is typically a dollar negative, as it was in January and February when EM was witnessing heavy portfolio inflows. Looking at ETF flows data, it seems that investors have paused and not reversed their inflows into EM since the Gulf crisis erupted – potentially showing a conviction call.

Add in what could have been another round of Bank of Japan dollar selling in early Europe and the dollar opens offered. Whether it falls much further today depends on the path of oil (headlines and inventory data) plus the release of the monthly US ADP jobs data. A healthy +120k gain is expected in April. Any big miss could weigh on the dollar.

Given the uncertainty in the Gulf, it looks dangerous to be chasing the dollar a lot lower from current levels and range support at 97.65/75 in DXY may hold again. Yet we have to acknowledge the enduring pro-risk/\$ negative undercurrent.

Chris Turner

➔ EUR: The euro has been underperforming

Looking at the performance of the euro on the crosses, e.g. EUR/GBP and EUR/CHF, one could argue that the euro has been a relative underperformer. Here, the eurozone economic data has surprised negatively on the downside for the last two months as higher energy prices have weighed. Nonetheless, EUR/USD is getting a slight bid from the pro-risk mood in the market and the conviction view that the ECB will deliver a precautionary rate hike in June. Given very elevated inflation expectations – e.g. 3.03% derived from the two-year inflation swap – the euro will need to see the ECB follow through with that hike. Failure to do so and a decline in real interest rates would hurt the euro.

Away from the Gulf and energy markets, the focus today will be on the ECB's wage tracker and the April PPI data. The last release for the former had wages expected to grow at 2.6% in 4Q 2026. Any increase here could prove euro-positive in that it would give the ECB more cause to hike.

We are not convinced EUR/USD needs to trade up to and above 1.18 just yet and would not completely rule out EUR/USD finding its way back to 1.1700 again.

Chris Turner

➔ GBP: The sterling conundrum

There has been much attention on the UK Gilt market this week, where Gilt yields have traded up to multi-year highs ahead of local elections on Thursday. Our rates strategy team [has some doubts](#) that the Gilt sell-off is being driven by the local election story, given that the UK swap

spread (Gilt yields versus GBP swaps) has been relatively stable. That could explain why sterling has been doing so well even as Gilts sell off.

If that is the case, then both Gilts and sterling do face some downside risks if Thursday's UK local election prompts a serious challenge to the current leadership of the UK Labour Party.

EUR/GBP has good support down at 0.8600/8610, which we expect to hold.

Chris Turner

BRL: One of our EM favourites

As above, it seems like investors have an enduring demand for risk and some exposure to emerging markets. Latam as a region is seen as an **outperformer**, especially those with some independent access to energy. Here, Brazil is a net energy exporter and its terms of trade have risen sharply since the outbreak of hostility in the Middle East. Brazilian equity markets have been flying this year and with the local central bank expected to cut rates 100bp this year, local currency bonds could do well if conditions calm down.

USD/BRL has broken clear of 5.00 now. With implied yields in excess of 13%, we would expect the BRL to remain at the forefront of interest in emerging markets. The key threat is probably a political one should President Lula consider unfunded fiscal giveaways ahead of the October elections. However, investors look happy to bear that risk and USD/BRL losses could extend into the 4.80/85 area should the path to peace in the Middle East become any clearer.

Chris Turner

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s),

as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.